

Task 17 — Customer Segmentation Using RFM Analysis

Data Analyst | Phase 1 Industry Immersion

1. Objective

The objective of this project is to segment customers using RFM analysis. RFM stands for Recency, Frequency and Monetary value. The analysis identifies valuable, loyal, new, at-risk and lost customer groups to support targeted business strategies.

2. RFM Methodology

Recency: Number of days since the customer's most recent purchase.

Frequency: Number of unique orders placed by the customer.

Monetary: Total Sales generated by the customer.

3. Customer Segmentation

Customers were scored from 1 to 5 for each RFM dimension. Higher scores represent better customer behavior. Recency is scored in reverse because a more recent purchase is more valuable.

4. Segments Created

Segment	Recommended Strategy
Champions	Reward with exclusive offers and loyalty benefits.
Loyal Customers	Use loyalty programs and cross-selling.
New Customers	Encourage repeat purchases and engagement.
At Risk	Use win-back campaigns and personalized offers.
Lost High Value	Use strong reactivation and personal outreach.
Lost Customers	Use low-cost re-engagement campaigns.
Potential Loyalists	Increase engagement and loyalty incentives.

5. Analysis Performed

The project calculated customer-level RFM metrics, generated RFM scores, assigned actionable customer segments, compared segment sizes and monetary value, and created visual summaries to support interpretation.

6. Business Recommendations

Champions and loyal customers should receive retention and loyalty benefits. New customers should receive onboarding and repeat-purchase offers. At-risk and lost high-value customers should receive targeted win-back campaigns. Lost customers can be approached with lower-cost reactivation campaigns.

7. Conclusion

RFM analysis provides a practical framework for understanding customer behavior and prioritizing marketing efforts. The resulting segments can help the business allocate retention, loyalty and reactivation resources more

effectively. RFM classifications should be refreshed periodically as new customer transactions become available.